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Relation between Working Capital and PAT

The first thing that we understand while analyzing working capital is its relationship with Profit After taxes. This directly affects a company's ability to convert profits to cash flow from operations that we were discussing under Cash flow from operations.

Relation Between Working Capital and PAT					
EBIT/Avg Operating Working Capital	202.25%	188.28%	162.24%	192.85%	286.01%
PAT/ Avg Operating working Capital	151.98%	148.33%	121.53%	152.96%	218.64%
Avg operating Working Capital / Revenue	14.34%	15.97%	16.68%	14.25%	9.93%
Take care of seasonality. Company's ability to finance					

We can see in the calculation above that PAT as a percentage of Average Operating working capital keeps on varying. If this ratio goes up, the company needs less working capital for its profits and as a result, capital generally gets freed up in cash flow statements. At the same time, if this ratio goes down, it means that company requires additional working capital and therefore less profits will be converted cash for the company.

Also, in absolute manner, the company requires less than 1 year worth of profits as operating working capital, which is a very healthy sign for the company in terms of working capital. Working capital requirements will never come in the way of growth for the company.

To analyze the Relation between Working Capital and PAT, we need to look at a few items, which are-

EBIT/Average Working Capital

Total Financing Working Capital Changes	7	37	-4	33	51	172
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